ARENJA & RAJ FINANZ

FREE GUIDE · TAX

How a rental property can lower your tax

The deductions landlords in Germany use – explained simply.
Plus: how to get the benefit every month, not once a year.

- What you can deduct as a landlord
- Your tax saving by tax rate – table
- Get it monthly on your payslip
- The 15% trap in the first 3 years
- 10-year rule and spouse strategies

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Mortgage & insurance brokers for expats in Germany
English · Hindi · German

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THE BASICS

Why property can lower your tax

Rental income is taxed – but only after costs. In the first years, interest and depreciation are often higher than the rent. That loss is offset against your salary, so you pay less income tax.

Typical deductible costs (Werbungskosten)

🏦 Loan interest

Interest on the loan for the rental flat (not the repayment).

📉 Depreciation (AfA)

2–3% of the building value per year, new builds up to 5% declining.

🔧 Repairs & maintenance

Often deductible right away – watch the 15% rule (page 3).

🧾 Other costs

Property management, non-recoverable service charges, insurance, tax advisor share, trips to the flat, tenant search.

What it's worth: tax saving per €5,000 loss

Your personal tax rate	Saving per year	Per month
30%	€1,500	€125
35%	€1,750	€146
42%	**€2,100**	**€175**

Simplified, without solidarity surcharge / church tax. Your rate depends on your income – your tax advisor can tell you.

How big could your effect be?
We calculate the financing side – your tax advisor confirms the tax side.

Book free call →

MORE CASH EVERY MONTH

Don't wait 12 months for your refund

Most people get the tax benefit once a year with the tax return. But you can apply at the tax office for an allowance (Freibetrag / Lohnsteuerermäßigung) for expected rental losses. Then less wage tax is taken from your payslip every month.

> 💡 Apply with the form "Antrag auf Lohnsteuer-Ermäßigung" at your Finanzamt (also online via ELSTER) – ideally with your tax advisor.

> ⚠️ **The 15% trap:** If renovation costs in the first 3 years after buying are higher than 15% of the building value (without VAT), they are not deducted right away – they are added to the building and depreciated over decades (§6 (1) 1a EStG). Plan big renovations with your tax advisor.

Two rules worth knowing

⏳ 10-year rule

Sell a privately held rental flat after more than 10 years: the gain is generally tax-free (§23 EStG). Sell earlier: the gain is taxed.

💑 Spouse strategies

Some couples structure ownership between spouses (e.g. "Ehegattenschaukel"). This only works with a real contract, real financing and a tax advisor – done wrong, the tax office rejects it.

General information, not tax advice. We are mortgage and insurance brokers, not tax advisors – we work together with yours.

Planning your first rental flat?
We find the financing that fits your tax plan – free first call.

Book free call →

CHECKLIST

Before you buy for tax reasons

Tax savings are a bonus, not the reason to buy. A flat must make sense without them. Use this list:

- [ ] Does the flat work with a realistic rent and some vacancy?
- [ ] Can you carry the monthly cash flow for 10+ years?
- [ ] Is the building / land split (Kaufpreisaufteilung) realistic? It decides your AfA.
- [ ] Which AfA rate applies (2%, 3%, 5% declining, §7b)?
- [ ] Renovations planned in the first 3 years? → 15% rule
- [ ] Allowance on your payslip applied for?
- [ ] Do you plan to move back to India? → rental income from German property is generally taxed in Germany
- [ ] Tax advisor on board before signing

> 💡 The financing structure changes your tax effect too: more interest in the early years means a higher deduction – but also higher costs. We show you both sides.

Let's look at your numbers
Free 30-minute call – financing, cash flow and the questions for your tax advisor.

Book free call →

YOUR NEXT STEP

Let's see what a rental flat does for you

In a free 30-minute call we calculate financing and cash flow and give you the right questions for your tax advisor.

1
We look at your income, tax bracket and savings

2
We calculate a real example with financing and tax effect

3
You get bank offers – your tax advisor checks the tax part

Book your free 30-minute call

Scan the code or tap the link – pick a time that suits you. Online, in English, Hindi or German.

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